RESPONSES TO BURSA MALAYSIA SECURITIES BERHAD'S ("BURSA SECURITIES") QUERIES DATED 2 MAY 2024 AND 8 MAY 2024 ON THE SUBJECT:

INITIAL LISTING APPLICATION ("ILA") AND PROSPECTUS REGISTRATION ("STAGE 1 SUBMISSION")

(Unless otherwise defined, the abbreviations and definitions used in VETECE Holdings Berhad's Stage 1 Submission submitted to Bursa Securities on 29 February 2024)

CHECKLIST FOR QUERIES RAISED BY BURSA SECURITIES ON 2 MAY 2024 ("2 May 2024 Bursa Queries")

No.	Reference	Queries	Responses
Prospectus			
1.	Section 4.7(c)(iv)	To ensure consistency with Section 7.23.3 on the advertising and promotional expenses. Separately, to clarify on the reason why will there be travel expenses for site visits when establishing COE.	Amended. Please refer to the amended Section 4.7(c)(iv) of the Prospectus.
2.	Section 5.4.2(v)	To determine if Goh Yeh Hwang will be deemed as an associate based on the Listing Requirement for the purpose of computing the public shareholding percentage.	For Bursa Securities' information, Goh Yeh Hwang ("**Mr Goh**") does not fall under the definition of an Associate. Pursuant to the ACE Market Listing Requirements, an Associate is defined as: (a) a family member of the said Person – Mr Goh is not a family member of Mr Tee Chee Chiang ("**Mr Tee**") or Mr Chan Wai Hoong ("**Mr Chan**"); (b) a trustee of a trust (other than a trustee for a share scheme for employees or pension scheme) under which the said Person or a family member of the said Person is the sole beneficiary – Mr Goh is not a trustee of a trust which Mr Tee or Mr Chan, or a family member of Mr Tee or Mr Chan whereby Mr Goh is the sole beneficiary; (c) a person, or where the person is a body corporate, the body corporate or its directors, who is/are accustomed or under an

No.	Reference	Queries	Responses
			obligation, whether formal or informal, to act in accordance with the directions, instructions or wishes of the said Person – Mr Goh is not accustomed or under an obligation, whether formal or informal, to act in accordance with the directions, instructions or wishes of Mr Tee or Mr Chan. Notwithstanding that Mr Goh reports to Mr Tee and Mr Chan who is the Executive Vice Chairman and CEO/Executive Directors of VETECE respectively, such relationship is only in respect of Mr Goh's professional capacity as an employee of VETECE and not of Mr Tee's or Mr Chan's; (d) a person, or where the person is a body corporate, the body corporate or its directors, in accordance with whose directions, instructions or wishes the said Person is accustomed or is under an obligation, whether formal or informal, to act – Mr Goh is not a person in accordance with whose directions, instructions or wishes Mr Tee or Mr Chan is accustomed or is under an obligation, whether formal or informal, to act; (e) a body corporate in which the director, shareholder or a family member of the said Person is entitled to exercise, or control the exercise of, not less than 20% of the votes attached to voting shares in the body corporate – Mr Goh is not a body corporate in which Mr Tee or Mr Chan or a family member of Mr Tee or Mr Chan are entitled to exercise, or control the exercise of, not less than 20% of the votes attached to voting shares in the body corporate; (f) a body corporate which is a related corporation of the said Person – Mr Goh is not a body corporate which is a related corporation with Mr Tee or Mr Chan.

No.	Reference	Queries	Responses
3.	Section 7.11	To clarify on any dependency on Computrade and WSO2 specifically. Are there any other suppliers that the company can source from? If yes, why has the Company been mostly buying from them such that the purchases from these 2 suppliers comprise around 66% to 88% of the total purchases during the Financial Years Under Review. Last paragraph - to consider whether if necessary and if so, to enhance clarity (and merge with previous paragraph to improve the flow of disclosure) that the purpose of the paragraph is to show that company would not be significantly impacted even without the resale of hardware and software segment.	Amended. Please refer to the amended Section 7.11 of the Prospectus.
4.	Section 7.23.2	Duplicated information on setting up of COE and the strengthening of Singapore operations. To rephrase.	Amended. Please refer to the amended Section 7.23.2 of the Prospectus.
5.	Section 6.3	To reconcile the public shareholding spread of 34.3% as disclosed in the prospectus against 34.7% as disclosed in the proforma distribution file submitted together with ILA.	Amended. Please refer to the amended Section 6.3 of the Prospectus and the amended Proforma Distribution as Enclosure I. To clarify, the public shareholding spread of 34.3% as disclosed in the Prospectus earlier had included all the Independent Non-Executive Directors' shareholdings and excluded Mr Goh's and Choo Kwang Hui Nicholas's shareholdings. We have amended the Prospectus to exclude all the Independent Non-Executive Directors' shareholdings and included Mr Goh's and Choo Kwang Hui Nicholas's shareholdings to derive the public shareholding of 34.7%. Please refer to item 2 of the 2 May 2024 Bursa Queries on the assessment that Mr Goh does not fall under the definition of an Associate.
6.	Section 7.10	For Client D, what does "on-premises solution" refer to under the types of products/services sold.	For Bursa Securities' information, on-premises solution refers to hardware and software that has been delivered and implemented at the client's site, which also include professional services for

No.	Reference	Queries	Responses
			implementation as well as maintenance and support . Unlike cloud solution, on-premises solution operates within the clients' own network infrastructure.
7.	Section 7.10	To provide list of clients/suppliers that did not provide consent for disclosure of name in the prospectus.	For Bursa Securities' information, the Company has recently received consent from Client D – China Construction Bank (Malaysia) Berhad to disclose its name as one of the Group's major clients. Accordingly, Client E – Appfuxion Consulting Sdn Bhd shall now be Client D throughout the Prospectus. Please refer to the amended Prospectus. Kindly see enclosed the list of clients, suppliers, technology partners and technology vendor that did not provide consent for disclose of name in the Prospectus as enclosed as Enclosure II.

CHECKLIST FOR QUERIES RAISED BY BURSA SECURITIES ON 8 MAY 2024

No.	Reference	Queries	Responses
1.	General	(i) To ensure correct cross referencings are made in Section 12. For example, "lower administrative expenses due to reasons as explained in Section 12.2.2(iv) above".	(i) Kindly refer to the summary of other amendments below.
		(ii) For Bursa Securities' information, to provide the name and summarised profile of the Finance Manager who oversaw and managed the accounting and financial functions prior to the appointment of Yeoh Kim Kooi.	(ii) Kindly see our response in 1st item of the queries checklist submitted to Bursa Securities on 9 May 2024.
		(iii) For Bursa Securities' information, to provide the names of the previous clients from Australia and Papua New Guinea, and the type of services/products offered to them.	(iii) For Bursa Securities' information, the Group's client from Australia is Telstra Corporation Limited, where the Group provided professional services in relation to enterprise data engineering and analytics solutions. Separately, the Group's client from Papua New Guinea was Huawei Technologies (PNG) Pvt Limited, where the Group were engaged to provide maintenance and support services in relation to enterprise CRM solution.
		(iv) For Bursa Securities' information, to provide the names of the Group's clients, suppliers, technology partners and technology vendors, where their names are not disclosed in the Prospectus.	(iv) Kindly see our response in item 7 of the 2 May 2024 Bursa Queries.
Prospectus			
2.	Section 3.5 Risk Factors	To clarify the reason for listing the risk related to data and cybersecurity breaches ahead of other risk factors, and accordingly, whether the sequence of risks in Section 9 should be changed.	Amended. Please refer to the amended Section 3.5 of the Prospectus.
3.	Section 4.7(c)(iv) Advertising and marketing expense for COE	To clarify on the disclosure of "advertising and promotional expenses" and how "travel expenses for site visits" relate to the expense for COE.	Kindly see our clarification under item 1 of the 2 May 2024 Bursa Queries.

No.	Reference	Queries	Responses
4.	Section 5.2.3 Principal directorships	Where reference is made to VGSB being dormant after selling VTCS to the Group, to disclose should there be any plan to strike it off.	For Bursa Securities' information, VGSB intend to submit an application for the change of name.
5.	Section 6.3 Group structure	<u>After our IPO</u> To clarify on the discrepancy of the public shareholdings of the Company of 34.3% with the 34.7% illustrated in Appendix IV Proforma public shareholding spread of the ILA.	Kindly see our response in item 5 of the 2 May 2024 Bursa Queries.
6.	Section 7.10 Dependency on TM Group	(i) To disclose a summary of the number of on-going contracts with TM Group and the range of tenure for such contracts (including any renewal option(s), if applicable) (ii) To disclose a breakdown of the revenue/orderbook from TM Group to be recognised over the coming financial years.	(i) Amended. Please refer to the amended Section 12.13 of the Prospectus. (ii) Amended. Please refer to the amended Section 12.13 of the Prospectus. We seek Bursa Securities' kind indulgence not to provide further breakdown to the respective segments as there is high competition in the resale of hardware and software segment whereby other vendors, may gain an advantage in the resale of hardware and software from VETECE by knowing its resale values.
7.	Section 7.11 Major suppliers	To elaborate on the reason(s) for non-dependency on in particular, Computrade Technology (Malaysia) Sdn Bhd and WSO2 Inc.	Kindly see our response in item 3 of the 2 May 2024 Bursa Queries.
8.	Section 7.15 Employees	(i) To disclose whether the Group's foreign employees have the necessary and valid permits to work in Malaysia. (ii) To clarify whether accommodation is provided to for the foreign employees in Malaysia. (iii) To further breakdown the type of employees under IT solution employees.	(i) Amended. Please refer to the amended Section 7.15 of the Prospectus. (ii) Amended. Please refer to the amended Section 7.15 of the Prospectus. (iii) Amended. Please refer to the amended Section 7.15 of the Prospectus.

No.	Reference	Queries	Responses
9.	Section 7.23.2 Strengthening of the Group's enterprise application integration and enterprise data engineering and analytics solutions	Noted that the Group intends to strengthen its existing product offerings but the Group's plan to execute such strengthening seem to be by "expanding its client base upon establishment of COE for software solutions and the strengthening of Singapore operations to pursue opportunities overseas". If so, to consider whether this section is necessary as it overlaps with the plans/strategies listed in Sections 7.23.1, 7.23.3 and 7.23.4.	Kindly see our response in item 4 of the 2 May 2024 Bursa Queries.
10.	Section 8 IMR	<u>Figure 5</u> To update the table for data which was disclosed as available from January 2023 and before, where available. If there are no latest updates, to consider whether such data is relevant.	Amended. Please refer to the amended Figure 5 table under Section 8 of the Prospectus. To clarify, saved for the amendments, there is no further update for the other companies.
11.	Section 12.1.2 Historical combined statements of financial position	To provide an explanation note to "Other reserves".	Amended. Please refer to the amended Section 12.1.2 of the Prospectus.
12.	Section 12.2.2(i) Revenue, Maintenance support and professional services *(page 187 of tracked copy)*	<u>Comparison between FYE 2021 and FYE 2022</u> (i) It is disclosed that "the decrease in revenue from one of our clients from the technology industry by RM0.36 million or 94.74% from RM0.38 million in FYE 2021 to RM0.02 million in FYE 2022 arising from the cessation of enterprise CRM software solution that was used to support the end client". To disclose the reason for the cessation from the client. (ii) It is disclosed that "the decrease in revenue from one of our clients from the financial services industry by approximately RM0.39 million or	(i) Amended. Please refer to the amended Section 12.2.2(i) of the Prospectus. (ii) Amended. Please refer to the amended Section 12.2.2(i) of the Prospectus.

No.	Reference	Queries	Responses
		61.76% from RM1.02 million in FYE 2021 to RM0.63 million in FYE 2022, in relation to reduced system enhancement projects for enterprise CRM and enterprise data engineering and analytic solution from the said client". To disclose the reason of the reduced projects.	
13.	Section 12.2.2(i) Revenue, Implementation services *(page 188 of tracked copy)*	Comparison between FYE 2022 and FYE 2023 It is disclosed that the there was an increase in revenue due to "additional works related to design, development and implementation of WSO2 enterprise application integration and SSO management solutions from **one of our clients in the telecommunications industry** by approximately RM3.40 million". To provide Bursa Securities with the name of the client.	For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad.
14.	Section 12.2.2(ii) Cost of sales, Implementation services *(page 193 of tracked copy)*	Comparison between FYE 2021 and FYE 2022 To clarify whether the decrease in manpower from IT solutions and key management personnel from 96 employees to 87 employees were mainly due to resignations or cost-reduction undertaken by the Company then.	To clarify, the decrease in manpower from IT solutions and key management personnel from 96 employees to 87 employees was due to the resignation of employees.
15.	Section 12.2.2(iii) GP and GP margin, Implementation services *(page 197 of tracked copy)*	Comparison between FYE 2021 and FYE 2022 To elaborate further on the underlined in explaining the low GP margin of **7.51%** in FYE 2021, mainly due to "maintaining the implementation team during the periods with fewer contracts secured", taking into consideration that GP margin rose to **43.52%** in FYE 2022.	Amended. Please refer to amended Section 12.2.2(iii) GP and GP margin, Implementation services of the Prospectus.
16.	Section 12.2.2(iii) GP and GP margin,	Comparison between FYE 2022 and FYE 2023	

No.	Reference	Queries	Responses
	Resale of hardware and software *(page 198 of tracked copy)*	It was disclosed that the increase in GP margin to 5.90% in FYE 2023 was mainly due to "**sales of WSO2 software licences** for enterprise application integration and SSO management solutions for <u>one of our clients in the telecommunications industry **which carry slightly higher margin**</u>". (i) To provide Bursa Securities with the name of the client. (ii) To disclose in the Prospectus whether carrying "slightly higher margin" refers to the client OR the WSO2 software licences which were sold at a higher price to the client.	(i) For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad. (ii) Amended. Please refer to the amended Section 12.2.2(iii) GP and GP margin, Resale of hardware and software of the Prospectus.
17.	Section 12.2.2(v) Administrative expenses *(page 202 of tracked copy)*	<u>Comparison between FYE 2022 and FYE 2023</u> It is disclosed that the "company no longer has exposure to potential losses arising from fluctuations in the SGD exchange rate as at FYE 2023." To further clarify/confirm whether the Company is no longer exposed to exchange rate fluctuations because there is no more cash holdings in SGD.	Amended. Please refer to the amended Section 12.2.2(v) of the Prospectus. For Bursa Securities' information, as for exposure to SGD via VTCS, transactions recognised in VTCS in SGD does not have a foreign exchange impact as the functional currency of VTCS is SGD. There will only be translation differences arising in the combined financial statements from the translation of VTCS results to RM for presentation purposes. Any translation difference from the combined financial statements is recognised in the foreign exchange reserve in the Statements of Changes in Equity and Other Comprehensive income after the PAT line in the Statements of Comprehensive Income. However, if VTCM has any transactions denominated in SGD, then VTCM will be subject to exchange rate differences.

No.	Reference	Queries	Responses
18.	Section 12.4 Review of Cash Flows	<u>Net cash from operating activities for FYE 2023</u> It is disclosed that "increase in receivables by RM4.79 million, mainly due to higher billing to **one of our clients from the telecommunications industry** during the last quarter of FYE 2023, in line with the growth of our revenue". To provide Bursa Securities with the name of the client.	For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad.
19.	Section 12.9.1 Trade receivables turnover period	It is disclosed that "For FYE 2023, our trade receivables turnover period stood at 91 days, slightly above the normal credit period given to our clients, mainly due to amounts owed by **one of our clients from the telecommunications industry** owing an amount of RM5.36 million of which RM5.32 million has been subsequently collected as at the LPD". To provide Bursa Securities with the name of the client.	For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad.
20.	Section 12.9.2 Trade payables turnover period	It is disclosed that "For FYE 2023, the trade payable turnover period was above the normal credit period granted by our suppliers, mainly arising from an outstanding amount due to WSO2 of approximately RM1.71 million for the purchases of software licences pursuant to a project with **a client from the telecommunications industry** for the implementation of enterprise application integration and SSO management solution". To provide Bursa Securities with the name of the client.	For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad.
21.	Section 12.15 Dividend policy	To confirm that the Group does not intend to declare or pay any further dividends, subsequent to the LPD and up to the Listing.	Amended. Please refer to the amended Section 3.11 and 12.15 of the Prospectus.

No.	Reference	Queries	Responses
PG Checklist (App 1(c))			
22.	Paragraph 3.11	To clarify the reason for this requirement not being applicable.	Amended. Please refer to the amended Prospectus Guidelines Checklist enclosed as Enclosure III.
Management's discussion and analysis for the financial period ended 31 March 2024			
23.	-	To provide the relevant details (e.g. type of products / services, revenue/purchase value) of the major clients and suppliers for the **financial period ended 31 March 2024**.	Please refer to enclosed Enclosure IV.
24.	Section 1.1.2 Historical combined statements of financial position	It is disclosed that "Trade receivables decreased by RM7.46 million or 92.21% from RM8.09 million as at 31 August 2023 to RM0.63 million as at 31 March 2024 mainly due to collection from our **client from the telecommunications industry** during the FPE 2024". For Bursa Securities' information, to provide the name of the client.	For Bursa Securities' information, the Group's client is Telekom Malaysia Berhad.

Summary of other amendments in respect of the Prospectus

No.	Reference	Amendment	Remarks
Prospectus			
1.	Table of contents	Amended the pages.	Amended to reflect the latest changes in the Prospectus.
2.	Page xvi	China Construction Bank: China Construction Bank (Malaysia) Berhad, a Malaysian subsidiary of a multinational banking and financial services corporation with its headquarters in China that has a full-fledged commercial banking licence, specialising in global finance, transaction banking and financial markets	Included the definition of China Construction Bank (Malaysia) Berhad as the Company has received consent to disclose its name as one of its major clients.
3.	Page xx	ERP: Enterprise Resource Planning in the context of enterprise IT solution, is a software system that organisations use to manage various processes of their businesses such as accounting, human resources and payroll in a single platform.	Included the definition for ERP as it is not defined under the Glossary of Technical Terms of the Prospectus.
4.	Page xix	Amended the definition for Technology Vendor A from "It is a Chinese multinational technology corporation headquartered in China which designs, develops, manufactures and sells telecommunications equipment, consumer electronics, smart devices and various rooftop solar products. The holding company of Technology Vendor A is incorporated in China and is not listed on any stock exchange. Attempts to obtain Technology Vendor A's consent to disclose its information in the Prospectus were unsuccessful. As such, Technology Vendor A's name has not been disclosed" to "It is a subsidiary of a multinational technology corporation which is located and operates in Malaysia with its headquarters in China that principally designs, develops, manufactures and sells telecommunications equipment, consumer electronics,	Amended for consistency with the definition of Client B as both Client B and Technology Vendor A is Huawei Technologies (Malaysia) Sdn Bhd.

No.	Reference	Amendment	Remarks
		smart devices and various rooftop solar products. The holding company of Technology Vendor A is incorporated in China and is not listed on any stock exchange. Attempts to obtain Technology Vendor A's consent to disclose its information in the Prospectus were unsuccessful. As such, Technology Vendor A's name has not been disclosed"	
5.	Section 7.3.4(i)	Amended "integration of CRM, enterprise resource planning (ERP) and … "integration of CRM, ERP and …	Amended as ERP is already defined under the Glossary of Technical Terms of the Prospectus.
6.	Section 7.14	Included as note	Amended for clarity as the validity period for the TMMi Certified Level 3 certificate has expired on 30 April 2024.
7.	Section 12.2.2(vii) Comparison between FYE 2021 and FYE 2022	Amended referencing of "Section 12.2.2(iv)" to "Section 12.2.2(v)"	Amended to rectify a referencing error.
8.	Section 12.2.2(vii) Comparison between FYE 2021 and FYE 2022	Amended referencing of "Section 12.2.2(vii)" to "Section 12.2.2(viii)"	Amended to rectify a referencing error
9.	Section 12.2.2(vii) Comparison between FYE 2022 and FYE 2023	Amended referencing of "Section 12.2.2(iv)" to "Section 12.2.2(v)"	Amended to rectify a referencing error
10	Section 12.2.2(vii) Comparison between FYE 2022 and FYE 2023	Amended referencing of "Section 12.2.2(vii)" to "Section 12.2.2(viii)"	Amended to rectify a referencing error

No.	Reference	Amendment	Remarks
ILA Submission Documents			
1.	Part B - Appendix IV	Amended the figures “136,659,376” to “136,059,376”	Amended to rectify a typographical error.